

REVENUE MEMORANDUM RULINGS NO. 1-2002 issued on May 9, 2002 consolidates, provides, clarifies and harmonizes the existing guidelines on the tax consequences of a *de facto* merger pursuant to Section 40(C)(2) and (6)(b) of the National Internal Revenue Code of 1997.

A *de facto* merger involves the acquisition by one corporation of all or substantially all the properties of another corporation solely for stock. The phrase “substantially all the properties of another corporation” mean “the acquisition by one corporation of at least 80% of the assets, including cash, of another corporation,” which has the element of permanence and not merely momentary holding.

To constitute a *de facto* merger, the following elements must occur: 1) there must be a transfer of all or substantially all of the properties of the transferor corporation solely for stock; and 2) it must be undertaken for a *bona fide* business purpose and not solely for the purpose of escaping the burden of taxation.

The provisions of the Ruling shall apply solely and exclusively to situations in which the facts are substantially similar to the facts specified in the Ruling.

The Transferor (a domestic corporation) shall not recognize any gain or loss on the transfer of the property to the Transferee. Consequently, the Transferor will not be subject to Capital Gains Tax, Income Tax, nor to Creditable Withholding Tax on the transfer of such property to the Transferee. Neither may the Transferor recognize a loss, if any, incurred on the transfer.

In addition, the assumption of liabilities or the transfer of property that is subject to a liability does not affect the non-recognition of gain or loss under Section 40(C)(2) of the Tax Code of 1997, since in this case, the total amount of such liabilities does not exceed the basis of the property transferred.

The Transferee is not subject to Income Tax on its receipt of the property as contribution to its capital, even if the value of such property exceeds the par value or stated value of the shares issued to the Transferor.

The Transferor is not subject to Donor’s Tax, regardless of whether the value of the property transferred exceeds the par/stated value of the Transferee shares issued to the Transferor, there having no intent to donate on the part of the transferor.

The Transferor is not subject to Value-Added Tax (VAT) on the transfer of the property if it is not engaged in a business that is subject to the VAT. Even if the Transferor is engaged in an activity that is subject to VAT, it is nonetheless not subject to VAT on the transfer of the property to the Transferee.

The Documentary Stamp Tax consequences of the transfer, including the time of payment of the tax are specified in the Ruling.